#2 · 7.9% of marks

Ind AS 32 — Equity vs Liability

One question: does the issuer have an **unavoidable contractual obligation** to give cash / another financial asset? Legal form doesn't decide — **substance** does.

① Financial liability — the definition 11

→ *Contractual obligation to **deliver cash / financial asset**, or to **exchange** financial instruments under **potentially unfavourable** conditions*

→ *Contract settled in **own equity**:*

- ***non-derivative** → liability if **variable number** of shares*
- ***derivative** → liability unless **fixed number of shares for fixed cash** ("fixed-for-fixed")*

*Equity = the issuer **can always say no** to paying. Liability = it **cannot**.*

② Preference shares — the classification grid

Redemption	Dividend	Classification
*Mandatory / at **holder's** option*	*Mandatory (cumulative)*	***Liability (whole)***
Mandatory / at holder's option	***Discretionary***	***Compound**: liability = PV of redemption; equity = rest*
*Non-redeemable / at **issuer's** option*	***Discretionary***	***Equity***
Non-redeemable	***Mandatory***	***Liability (PV of perpetual dividends)***
*Issuer's option, with **step-up** dividend that compels redemption*	—	*Equity — economic compulsion alone isn't an obligation; but check for **indirect obligation** in terms* 20

⚠ TRAP

*Legally "share capital" under the Companies Act, but **liability** under Ind AS → shown under **borrowings** (Sch III); dividend on it = **finance cost in P&L**. Sec 55: preference shares redeemable within **20 years** (30 for infrastructure, with annual redemption).*

③ Special classification rules

→ ***Contingent settlement** (pay if IPO fails / profits fall) → **liability**, unless the contingency is **not genuine** or arises only on **liquidation*** 25

→ ***Settlement options** (issuer / holder chooses cash or shares) → liability / derivative liability **unless all alternatives give equity*** 26

→ ***Puttable instruments** and obligations arising only on **liquidation** → equity if strict conditions (most subordinate class, pro-rata share...)* 16A – 16D

→ ***Rights issue** for fixed foreign-currency amount, pro-rata to all existing owners → **equity*** 11

→ ***Indian carve-out**: **conversion option in a foreign-currency convertible bond** (fixed number of shares for fixed amount in **any currency**) → **equity** (IAS 32 → derivative liability)* 11

NUMERICAL CORE

④ Split at initial recognition 28 – 32

Step 1 Liability = PV of interest + principal, discounted at **market rate for similar debt WITHOUT conversion**

Step 2 Equity = Proceeds − Liability **(residual)**

Step 3 Transaction costs → allocated **in proportion** to the split 38

No gain / loss on initial split. Split is **not revised** for changes in likelihood of conversion 30

Example (rounded): 10,000 debentures × ₹100, 6% coupon, 3 years, market rate 9%	
PV of coupons ₹6,00,000 × 2.5313	₹15,18,777
PV of principal ₹1,00,00,000 × 0.7722	₹77,21,835
Liability	**₹92,40,612**
Equity component (1,00,00,000 − 92,40,612)	**₹7,59,388**

Subsequently: liability at **amortised cost** (interest at 9% → P&L); equity component stays — may move within equity, never remeasured.

⑤ After issue — four endings

Event	Treatment
Conversion at maturity	Liability carrying amount → equity. **No gain / loss** AG32
Redemption at maturity	Pay off liability; equity component may move to retained earnings
Early repurchase	Allocate price to liability (its FV at that date) and equity: liability part → **P&L**; equity part → **equity** AG33 – 34
Induced conversion (sweetener)	FV of extra consideration → **loss in P&L** at date terms amended AG35

Liability side gains / losses → **P&L**. Equity side → **equity**. Never mix.

6 Equity mechanics 33 - 41

→ **Treasury shares** (own shares reacquired, e.g., via ESOP trust consolidated) → **deducted from equity**; **no gain / loss** on purchase, sale, cancellation 33

→ Interest, dividends, gains / losses on a **liability** → **P&L**; distributions to **equity** holders → **equity directly** 35

→ **Transaction costs of equity** (registration, legal, underwriting) → **deducted from equity**; abandoned issue costs → P&L 37

→ Income tax on equity distributions / costs → per **Ind AS 12** 35A

7 Offsetting 42

Offset financial asset & liability **only if** both: **(a)** currently **legally enforceable** right to set off (not contingent on a future event), and **(b)** intention to settle **net** or **simultaneously**.

8 In consolidation

→ **Written put over NCI shares** (parent must buy NCI on demand) → **financial liability** in CFS at PV of redemption amount

→ Instrument may be **equity in sub's SFS** but **liability in CFS** if parent guarantees payment

9 AAA & law bridge

Area	Requirement
CARO 3(x)(a)	Money raised by IPO / FPO (incl. debt instruments) applied for stated purposes?
CARO 3(x)(b)	Preferential allotment / private placement of shares or (fully / partly / optionally) convertible debentures — Sec **42** & **62** complied; funds used for purpose
Sec 55	Redeemable preference shares — redemption out of profits / fresh issue; CRR
Sec 71	Debentures; DRR where required
SA 315 / 330	Classification risk — legal form vs substance (presentation & disclosure assertion)

> ✍ **Write in exam**
> "As per para 15 and 16 of Ind AS 32, the issuer shall classify the instrument on initial recognition according to the substance of the contractual arrangement. Since the preference shares carry a mandatory redemption on a fixed date, the issuer has a contractual obligation to deliver cash, and the instrument is a financial liability; dividends thereon are recognised as finance cost in profit or loss (para 35)."

> ✍ **Write in exam**
> "The compound instrument is split at initial recognition: the liability component is measured at the present value of contractual cash flows discounted at the market rate for similar debt without conversion, and the equity component is the residual (para 31–32)."